HE CHAO QIANG
and
ZHANG JIABO

Versus

THE STATE
and
F. MKWANANZI N.O

HIGHCOURTOFZIMBABWE
MUZOFA J
CHINHOYI,

Motion Court-Application for review

O. Marwa, for the applicants
No appearance for the respondents

MUZOFA J

Factual Background

1. The two applicants are foreign nationals based in Zambia. The 2nd applicant drove into Zimbabwe from Zambia through the Kariba border post. On exiting Zimbabwe, a search was conducted on his motor vehicle, and US$9000 and two bars of gold worth US $93 857-19 and US$ 109 035-77, respectively, were recovered in a false compartment fixed between the boot and the backseat of the motor vehicle.

2. He was charged with smuggling and dealing in gold without a licence in contravention of s182 of the Customs and Excise Act (Chapter 23:02), the CEA, and s3(1) of the Gold Trade Act [*Chapter 21:03*], the GTA. He was arraigned before the 2nd respondent 'the court *a quo'*.He was acquitted on both counts. The court *a quo* found that he lacked the requisite *mens rea* to commit the offences.

3. Thereafter, the 1st applicant approached the court *a quo* seeking release of the articles held as exhibits. The application was dismissed on the basis that the applicant could not lawfully possess the goods in Zimbabwe without the requisite paperwork. The Zambian documents produced before the court *a quo* did not legitimize possession in Zimbabwe. In respect of the motor vehicle, the court *a quo* relied on s188(3) of the CEA that it had a secret compartment. It was therefore liable to forfeiture.

4. Undeterred by the outcome, the applicants approached this court on review. The respondents did not oppose the application; thus, it was enrolled on the unopposed roll. Despite non-opposition, this court is at large to consider the case in order to issue a competent order. This is so especially in matters that involve public entities.

5. On the date of hearing, I raised issues on whether the 2nd applicant was before the court, whether the 1st applicant could make a case for release of the motor vehicle, the applicability of s188(3) of the CEA to this case, among other issues. I directed the applicants through their lawyers to file heads of argument, which were duly filed timeously. I relate to issues that dispose of the matter only.

Grounds for review

6. In summary, the four grounds for review are as follows: whether it was irrational to find the applicants required Zimbabwean documentation since the goods crossed the border inadvertently, that the court *a quo* reviewed its decision, and the applicability of s188(3) of the CEA to this case.

7. Two issues commend themselves for resolution, whether the applicants proved that they can lawfully possess the goods and whether the court *a quo* reviewed its decision.

The law

8. The applicants approached the court a quo in terms of s 61(1) (a) and (b) of the Criminal Procedure and Evidence Act [Chapter 9:07] (CP&EA). The section reposes in a judge or magistrate presiding at criminal proceedings the discretion to order the release of exhibits at the conclusion of those proceedings. The exhibits are released to the person from whose possession the articles were obtained, where that person may lawfully possess them. Technically, that section does not endow the applicants with the right to approach the court.

9. Ordinarily, the law envisages that after trial, the court should deal with the disposal of the exhibits. This is because the trial court had the priviledge to hear evidence and can make an informed decision as to who can lawfully possess the goods. The court may hear additional evidence on affidavit or orally as it thinks fit in order to make a competent decision. In *Musiza & Anor v Magistrate F. Chakanyuka N.O & Anor* HH539/25, the court emphasized the need for a court to decide and issue an order on the disposal of exhibits; it succinctly set out the applicable procedure.

10. The cardinal principle from that provision is that an article may only be released to a person who is entitled to it and can lawfully possess the article. If the person from whom the article is taken cannot lawfully possess it, for instance, a thief, it is returned to the person who can only lawfully possess it; otherwise, it can be forfeited to the State.

11. The onus was on the applicants to show on a balance of probabilities that they could lawfully possess the articles in Zimbabwe.

Analysis

Whether the applicants proved entitlement to the goods.

12. At the outset l deal with the 2nd applicant's standing before this court. He was the driver of the motor vehicle. The 1st applicant in his affidavit before this court indicated that the 2nd applicant authorized him to depose to the affidavit on aspects relating to the motor vehicle. No such authorization was filed. In the absence of proof that the 1st applicant was authorized to speak on behalf of the 2nd applicant, the 2nd applicant is not before the court. Despite saying so, there was nothing to motivate the review in the affidavit. The second applicant is therefore not properly before the court.

13. For the sake of completeness and convenience, I shall refer to both applicants despite my findings. The onus was on the applicants to show on a balance of probabilities that they could lawfully possess the articles in Zimbabwe. Where a party bears the onus of proof, it can only discharge it by way of evidence. The case of *Jennifer Nan Brooker v Mudhadha & Others (2) Pierce v Mudhadha & Others SC 5/18* is authority that the onus can only be discharged by evidence.

The motor vehicle

14. The first issue is whether there was an application for the release of the motor vehicle before the court a quo? Was there evidence that the 2nd applicant can lawfully possess the vehicle? Similarly, is there an application for review in respect of the motor vehicle?

15. As already stated, the 1st applicant adduced evidence on affidavit before the court *a quo*. He did not refer to the motor vehicle. The release of the motor vehicle was referred to in the application prepared by the legal practitioners. It is trite that an application stands or falls on the founding affidavit. See *Chironga &Ors v Minister of Justice Legal and Parliamentary Affairs & Ors CCZ14/20, Zimbabwe Posts (Pvt) Ltd v Communication & Allied Services Union SC 20/16*. There was no affidavit seeking release of the motor vehicle. Technically, there was no application before the court a quo. It was necessary for the 2nd applicant to set out the basis upon which he claimed the motor vehicle. He did not.

16. Since there was no valid application for the release of the motor vehicle, there can be no valid review application. I am alive to the fact that the issue of the release of the goods was supposed to be addressed by the court a quo on its own accord. Since it did not, an application was filed. The applicants were supposed to prove entitlement. On that basis alone, the matter can be settled.

17. Despite the finding, I shall deal with the matter on the merits, considering that the court *a quo* was supposed to deal with the issue even in the absence of an application. This means it could have relied on the evidence adduced during the criminal proceedings and maybe call further evidence where necessary.

18. On the merits, the court *a quo* in its determination reasoned that s188 (3) of the CEA renders every motor vehicle with a secret compartment liable to forfeiture. It treated the provision as a strict liability one.

19. *Per contra*, the applicants argued on two fronts. Firstly, that the provision is not applicable to this case. Relying on *S v Matura HB 78/17* it was submitted that for the provision to apply, the 2nd applicant was supposed to have been charged under the said provision. Further that ZIMRA must have forfeited the goods in terms of that provision. A reading of the *Matura c*ase does not support the submission made. The case is on proof of *mens rea* in smuggling cases. It does not deal with forfeiture of goods. It does not address the issues before this court.

20. It was stated that during the trial proceedings, the Notices of Seizure by ZIMRA were produced, but they were not filed of record. This court could not tell under which provision the motor vehicle was seized. Since this matter involved ZIMRA, the Notices of Seizure were supposed to be attached and evidence heard from ZIMRA on the release of the property.

21. Section 188 falls under Part XIII of the CEA, which deals with offences, penal provisions and the applicable procedures. The guiding provision on the applicability of the section is provided under subsection (1) thereof, which provides,
    (1) Any goods which are the subject matter of an offence under this Act shall be liable to forfeiture.

22. The 2nd applicant was charged under s182 of the CEA, which brings it within the contemplation of s188 (1). The motor vehicle was suspected to have been used in the commission of the said offence. Section 188 is of general application for all goods which are subject to an offence under the said Act. The CEA creates various offences, and it would be monotonous and nebulous indeed to have each section with its separate and distinct forfeiture procedure. The motor vehicle was the subject of an offence, and its forfeiture or otherwise would certainly have to be dealt with under the said provision. The section is therefore applicable.

23. The second issue taken for the applicants was on strict liability. On the authority of *Ndaza v ZIMRA 2004 (1) ZLR 317,* s188 is not a strict liability provision.

24. Case law is in agreement that courts infer strict liability in cases that relate to public welfare offences involving prohibitions or duties designed to prevent grave potential danger to the welfare of the State generally or to public amenities. *See Meikle v The State HH 565/14, Ndaza (supra).*

25. In the *Ndaza* case (supra) the court dealt with an almost similar case where the persons who hired the appellant's boat were convicted for smuggling. The appellant was the owner of the boat. He was unaware that the hirers were going to use the boat to commit an offence. The appellant sought the release of the boat. The court addressed strict liability in respect of s188 (1) & (2). It found that smuggling is not a public welfare offence. At the end of the judgment, the court opined that although s188 is peremptory, it does not create a strict liability offence. The necessary mens rea must be proved.

26. The *Ndaza* case reinforces the interlink between the criminal offence and the application for release of the goods. A vehicle will not be forfeited where the owner was unaware of the criminal conduct associated with his vehicle by another person or at least was not negligent.

27. By parity of reasoning, the issue in this case is whether the purported owner or person who can lawfully possess the motor vehicle was aware of the secret compartment? In this case, it is not about how the motor vehicle was used. It is the condition or make up of the motor vehicle that is in issue. The 2nd applicant was just but a driver, that explains why he did not claim the motor vehicle.

28. The court *a quo* was correct in its finding that the provision is peremptory, but it is not a strict liability one. The owner/ claimant must have some knowledge of the impugned conduct.

29. During the criminal proceedings, there was undisputed evidence that the same motor vehicle had crossed into Zimbabwe a whopping 21 times, and 21 temporary import permits were produced. On these different occasions, it was driven by three different drivers. This was the first time the 2nd applicant drove the motor vehicle. The motor vehicle belonged to a company known as Hui Teng. The 1st applicant gave evidence that he had borrowed the motor vehicle from his friend Xu Hui specifically for the secret compartment so that he could hide his gold. In my view, if the 1st applicant was aware of the secret compartment, the owner was aware of it. Even if there was no evidence on this, the inference can be drawn.

30. The 2nd applicant could have been a driver and had a temporary permit, but the real person behind the motor vehicle is the actual owner. That the motor vehicle crossed the border 21 times with the secret compartment raises so many questions on the purposes of its

journeys. All this obviously happened with the knowledge of the owner. Courts should be able to see beyond what is presented to it on papers. Where appropriate inferences must be drawn. In other words, when the 2nd applicant (who may not have known about the secret compartment) applied for a temporary import licence and its was granted, the actual owner knew about the secret compartment. From that time, it was liable to seizure in Zimbabwe. That there was a temporary import licence is of no moment.

31. There is sufficient evidence that the 1st applicant and by extension the owner knew about the secret compartments. The motor vehicle could not be released and cannot be released. The presence of the secret compartment contravenes the laws of Zimbabwe. What the applicants over looked is that even if the motor vehicle is released to the 2nd applicant, its real destination is the owner who has allowed such a vehicle to travel into Zimbabwe 21 times. There must be something special about that motor vehicle.

32. In the final the court *a quo* did not err in applying s188 of the CEA but it misdirected itself in dealing with the provision as a strict liability provision. Despite the misdirection, an inference can be drawn from the 1st applicant's evidence before the court *a quo* that the presence of the secret compartment was known. The motor vehicle is susceptible to forfeiture due to its condition.

The gold and the money

33. The real issue is whether the documents placed before the court *a quo* to prove that the 1st applicant could lawfully possess the articles did discharge the onus. The undisputed facts are that the articles were about to leave for Zambia. The 1st applicant produced documentation to prove that he lawfully possessed the articles in Zambia. He produced a certificate of incorporation of Hui Teng Transport, a company duly registered in Zambia, and its share capital. A mineral trading permit for a company known as Kimfuray Investment Limited (KIL) and a letter from (KIL) authorizing the 1st applicant to deal and sign documents on behalf of (KIL). Naturally, as submitted by the applicants' legal representatives, he had a lawful mandate to handle the company's bullion and money.

34. I have no doubt that the court aquo had its fingers on the pulse. It identified the sole issue for determination as whether the applicant could lawfully possess the articles in Zimbabwe. It identified that possession and movement of the articles in and out of Zimbabwe is controlled in terms of the GTA and related statute. Salient to its findings is that the Zambian mineral trading permit does not and cannot confer any right to possess the articles in Zimbabwe.

35. This takes me to the point that in such an application for release of goods which were seized by ZIMRA, it is necessary to cite ZIMRA for the sake of ventilating all the relevant facts before the court. Since it was not cited, the court *a quo* must have called for evidence

from ZIMRA. This is within the court's purview to receive evidence for the purpose of making a determination in terms of s61 of the CPEA, See also *Musiza & Anor v Magistrate Chakanyuka NO & Anor* (*supra).*

36. The 1st applicant's emphasis that the articles inadvertently entered into Zimbabwe and that there was no intention to smuggle is valid only for the criminal liability. It is the reason why the 2nd applicant was acquitted for lack of intention to smuggle.

37. The application for disposal of goods is separate and distinct from the criminal proceedings. Some of the differences are that in the criminal matter, the state seeks a conviction, the offence requires proof of intention, the standard of proof is high, and the defence has no onus to prove its defence. On the other hand, under s61 of the CPEA, articles can be released (i) if the person who was in possession of the articles can lawfully possess or (ii) if not, to any person entitled to the articles and may lawfully possess.

38. How the articles found their way into Zimbabwe was a matter for the criminal court. Once they were in Zimbabwe, they became subject to the laws of Zimbabwe. As correctly stated by the court a quo, what the applicant says is that he should be allowed to take the gold and money (in the process, possess it and exit to Zambia) without the requisite documentation in Zimbabwe. As matters stand, he cannot handle the items with the Zambian documents. He may have established entitlement to possess in Zambia, but not so in Zimbabwe.

39. The applicant argued that it is unnecessary to determine whether possession in Zimbabwe is lawful. The court *a quo* erred in determining the matter from the point that the articles were unlawfully imported into Zimbabwe, yet they crossed into Zimbabwe inadvertently. The applicant misconstrued the law and facts. I don't think the court must be detained by how the articles come to Zimbabwe. The question is, did the applicant prove that he could lawfully possess the articles in Zimbabwe? He did not. This is why ZIMRA was an indispensable party in the application before the court a quo.

Whether the court a quo reviewed its decision.

40. According to the applicants the court a quo pronounced that there was neither smuggling nor unlawful possession or dealing in gold in the criminal matter. It could not claw back on its findings that the applicants required documentation to prove lawful possession. By so doing, it reviewed its decision.

41. As properly stated by the court a quo, the criminal proceedings and the application for release of the articles are separate matters. For the release of the articles, the applicant must show that he can lawfully possess the articles. The 1st applicant forgot that he was not the accused person. He was a witness who ably exonerated the 2nd applicant by

claiming ownership of the articles. That the court a quo made a finding that the 2nd applicant lacked the necessary *mens rea* did not naturally imply that the 1st applicant could lawfully possess the articles in Zimbabwe.

42. In my view, the court a quo in the criminal proceedings dealt with a completely different, though related, issue. This was a criminal matter. The 1st applicant was a defence witness who raised issues that the State failed to disprove. It is trite that the defence bears no onus to prove its defence. See *R v Difford 1937 AD 370*, *Mupande v The State SC 82/14*. In those proceedings, the veracity of the 1st applicant's evidence was not under ventilation since the defence had no onus. It was reasonably possibly true, hence the acquittal. In the application for the release of the articles, the basis of the application is subject to scrutiny to establish lawful possession. Thus, there was no review of its decision at all.

Disposition

43. There was no misdirection in applying s188 of the CEA in the resolution of the disposal of the motor vehicle. The provision applies to goods subject to an offence under the said Act. Although the provision is not a strict liability one, there was adequate evidence of the requisite knowledge from the 1st applicant's evidence. The vehicle is susceptible to forfeiture. It is irrelevant that the driver was not charged for driving such a vehicle.

44. As regards the bullion and money, the applicant failed to establish that he was entitled and could lawfully possess the articles in Zimbabwe. The documents from Zambia could have proved lawful possession in Zambia but not in Zimbabwe.

Accordingly, the application is dismissed with no order as to costs.

Tabana and Marwa, applicants' legal practitioners.